avoided. There is a large chance of mistakes by the state, and there is a large opportunity cost of the human and financial resources that are put into these battles.

We should get uncomfortable when any Indian government agency encourages or discourages any industry or location. As an example, RBI has capital control restrictions that favour nine industries, including nanotechnology and poultry. No economist knows enough about the structure of the Indian economy to make such a decision.

In the 1970s, the Santacruz Electronic Export Processing Zone (SEEPZ) was built by policymakers based on the idea that the electronics industry needed encouragement, and this encouragement was given in the form of zero customs duties. The elimination of customs duties is always a good policy, and this gave gains. The industries that came out of SEEPZ, however, were not what policymakers visualized. India did not start exporting electronics owing to the SEEPZ experiment. SEEPZ instead gave birth to the Indian software and diamond industries. The elixir that worked was not the ability of a policymaker to pick winners; it was the removal of trade barriers.

Example 53: Leadership in technological standards

The US government built the Global Positioning System (GPS) and the European public sector telecom companies built the Global System for Mobile communication (GSM). This makes us wonder whether the Indian state can play a role in developing and pushing technological standards.

As an example, consider the GPS. The GPS project was begun by the US Department of Defense in 1973, aiming for military applications. In 1983, when flight no. KAL 007 was shot down by the USSR after straying into USSR airspace, Ronald Reagan released GPS access for civilians as a global public good. Initially, the information available for civilian use was deliberately degraded. In 2000, Bill Clinton released full access to GPS information into the global public domain.